$30 billion (approx. Rs 2.4 lakh crore) worth of Indian assets to date since January 2022, the highest-ever outflow.

That the Modi government was not unaffected became clear when the Reserve Bank of India (RBI) started frantically dipping into the country's foreign exchange reserves to shore up the rupee and prevent it from depreciating beyond 80 to the dollar. India had reserves of $630 billion (Rs 50.4 lakh crore) before the war in Ukraine began in late February. On July 8, they stood at $580 billion (Rs 46.4 lakh crore). This is mainly because the RBI sold around $50 billion (Rs 4 lakh crore) to shore up the rupee and prevent wild fluctuation and the ensuing financial chaos. Despite the depletion, India still has enough forex reserves to allow it a 10-month buffer of imports should the need arise. The reserves are also more than double of what India had during the global financial crisis of 2008 and the 'taper tantrum' of 2013.

Why then is 80 to the dollar such a psychological benchmark that the central government and some sections of the industry have broken out in a cold sweat over it?

IMPLICATIONS FOR THE ECONOMY

Economists believe 80 to be the tipping point after which the rupee can go into free fall, causing widespread disruption in the government's finances and business plans. For the *aam aadmi*, a weak rupee will lead to what economists call "imported inflation". Thus prices of consumer goods such as air-conditioners, smart phones and motor vehicles, particularly those requiring imported components or parts, could see a steep increase. The cost of fuel, especially imported crude oil and gas, will also shoot up, forcing the government to either make the consumer pay and face public wrath or absorb the increase and see a decline in revenues.

A weak rupee is also likely to affect aspects of middle-class life. Going on foreign vacations will become expensive, as will education for children abroad, especially in the US. Combined with high fuel prices, including for aviation turbine fuel, and the continuing fallout of the pandemic, the rupee's fall has made air travel prohibitively expensive. The cheapest economy class return ticket to the US listed on online travel sites costs an average Rs 1.35 lakh from Rs 80,000 not so long ago. Those who have children studying in US universities could find tuition and accommodation bills swelling by over 10 per cent.



"Our policy-making follows the fallacy that a weak rupee aids export. We have higher inflation and lower productivity than our trade partners"

– NILESH SHAH
MD, Kotak Mahindra AMC

For the Modi government, the falling rupee could adversely affect its finances. India is a net importing nation. Its oil import bill doubled to $119.2 billion (Rs 9.52 lakh crore) in 2021-22 from $62.2 billion (Rs 4.97 lakh crore) in the previous fiscal year. Fertiliser subsidies constitute a major chunk of government spending—this year's budget provided an additional support of Rs 1.10 lakh crore, taking the total subsidy to Rs 2.15 lakh crore for the current fiscal. However, following the rise in fertiliser prices on the back of a global shortage and the falling rupee, experts predict that the bill could inflate further. With global fuel prices escalating, the government resorted to excise duty cuts on petrol and diesel in May to ease the burden on consumers. This was expected to cost the government exchequer around Rs 45,000 crore. However, as Brent crude prices softened to $106.96 per barrel (as on July 20), the government lowered the 'windfall levy' on domestic crude and removed the additional excise duty on petrol exports while cutting that on diesel exports from Rs 13 to Rs 11 the same day. The cess on domestically-produced crude was cut 27 per cent to Rs 17,000 per tonne from Rs 23,250 per tonne. The damage control measure could come at the cost of loss in government revenue. Worse, retail inflation may stay in the high 7 per cent zone. Crisil chief economist D.K. Joshi says, "A high inflation rate will injure purchasing power, especially of the poor. On a net basis, the weakening of the currency will have a more adverse impact on the economy." (See accompanying BITE, *Arresting the Fall*.)

For industry, the fall of the rupee is a mixed bag. Much of its worry stems from the rising import bill and higher costs for servicing loans. A Crisil analysis of the financials of over 300 firms (save finance ones and those in the oil and gas sectors) shows that corporate profitability dropped 200-300 basis points in the June quarter over the year before. Exporters, though, especially ones that rely largely on domestic raw material, may have some cause for cheer. Conventional wisdom has it that a falling rupee is good for exports. India's merchandise exports have been booming, crossing $400 billion (Rs 32 lakh crore) in FY22. But India's trade deficit (the difference in the value of its imports and exports) in June was at its highest ever at $26.2 billion (Rs 2.09 lakh crore), after it had widened to a record $192.24 billion (Rs 15.4 lakh crore) last fiscal.

India's software exports have certainly shown an uptick. According to the RBI, software services exports went